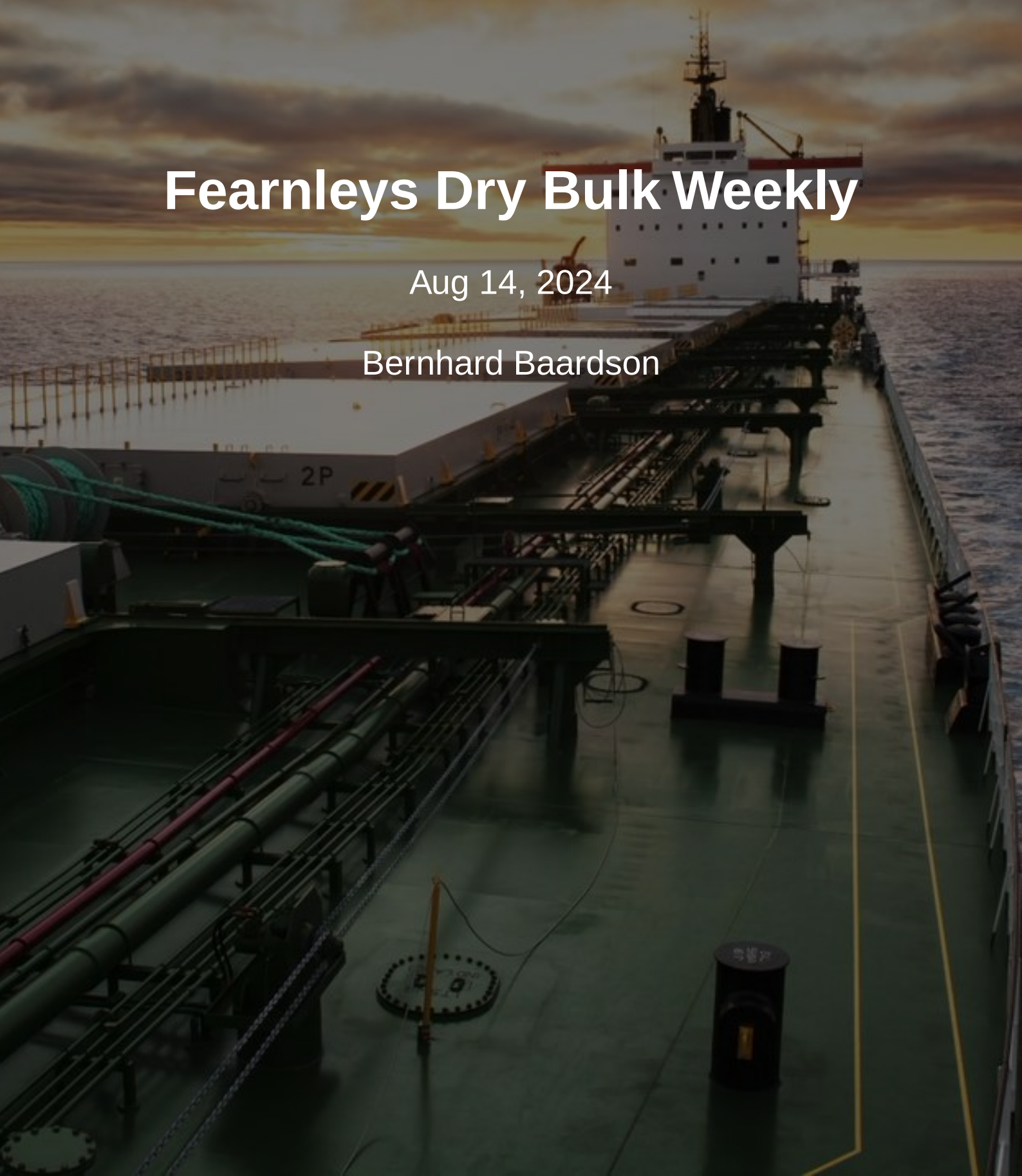


Fearnleys Dry Bulk Weekly

Aug 14, 2024

Bernhard Baardson



Capesize/Newcastlemax

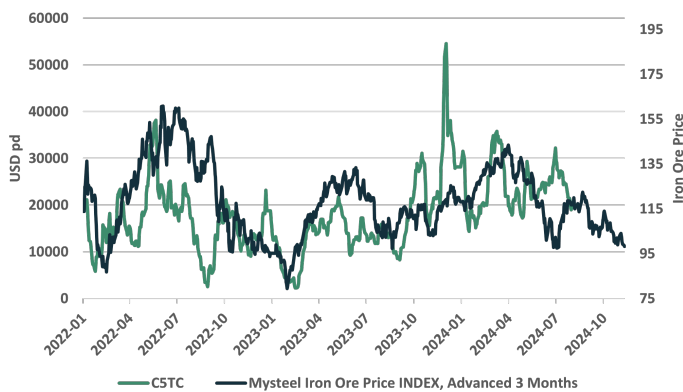
Last week, we wrote the following:

"*Lots of indicators point towards relative weakness during this month and next month.

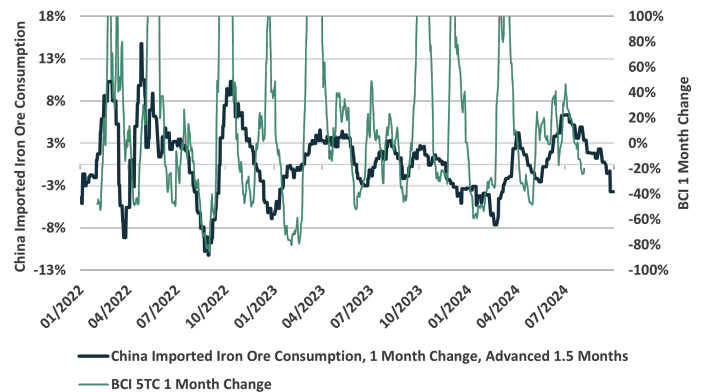
- The 1-month change of China's imported iron ore consumption suggest the 1-month change of the BCI5TC could be around -20% until the end of September. **This implies an average in the high teens through that period.**
- Iron ore prices and steel prices also point towards weakness the next couple of months.
- Brazil iron ore shipments are likely past the seasonal peak, and Bauxite shipments are in a seasonal lull.*"

The last week, data from China have worsened further. Iron ore prices, steel prices and imported iron ore consumption continued to fall. The imported iron ore consumption lead now suggest the month-on-month change of the BCI could be at negative 40% by the end of September. Brazilian iron ore shipments are past the seasonal peak, Bauxite shipments and Indian coal imports are in a seasonal lull.

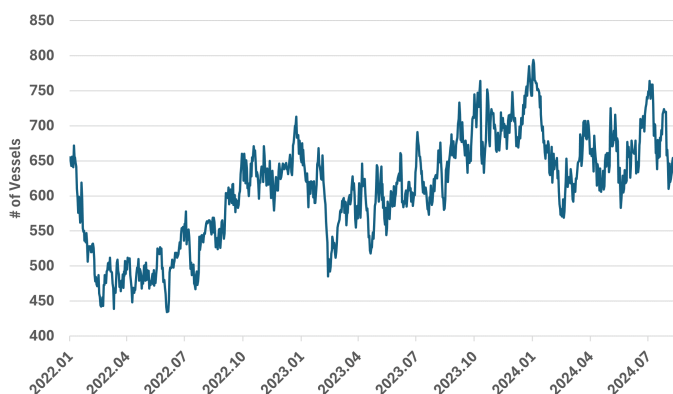
Iron Ore Price Lead vs Capesize 5TC



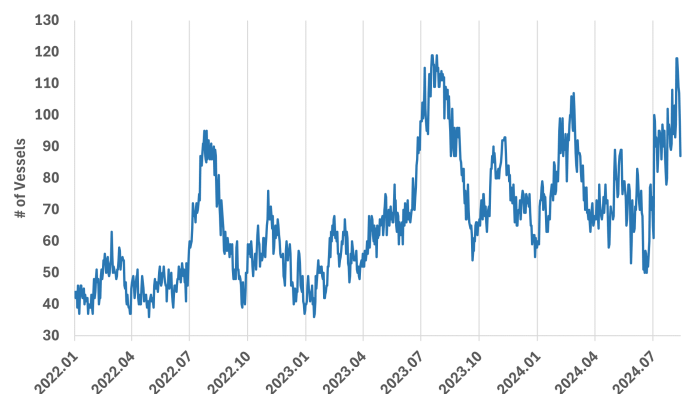
China Imported Iron Ore Consumption Lead vs Capesize 5TC



Capes/Newcs Heading to China



Capes/Newcs Heading to Brazil

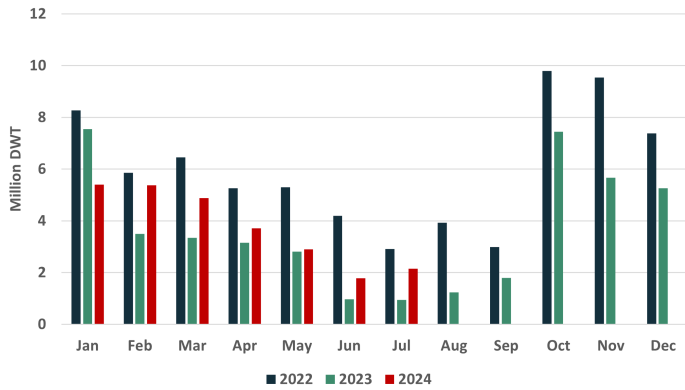


Panamax/Kamsarmax

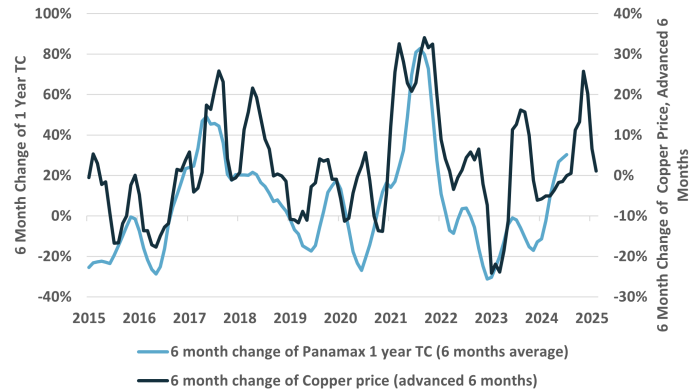
Our view in general remains that earnings will average higher for the remainder of this year than the same period last year (15.371 USD pd). A rally could materialize next month, driven by US grains, increased coal demand from India and increased Corn shipments from Brazil.

China remains weak, with all reports on the coal import market there being quiet. Renewed import demand of coal is likely to come only if there is a rebound in the country's steel sector. The Chinese central bank has increased liquidity noticeably the last months, which could mean there will be a rebound in Q4.

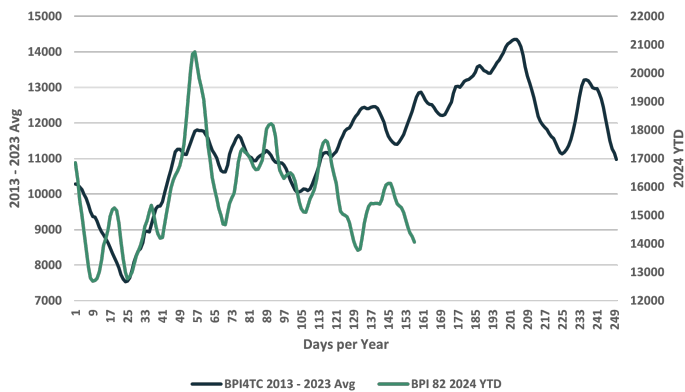
Panamax / Kamsarmax USG Exports



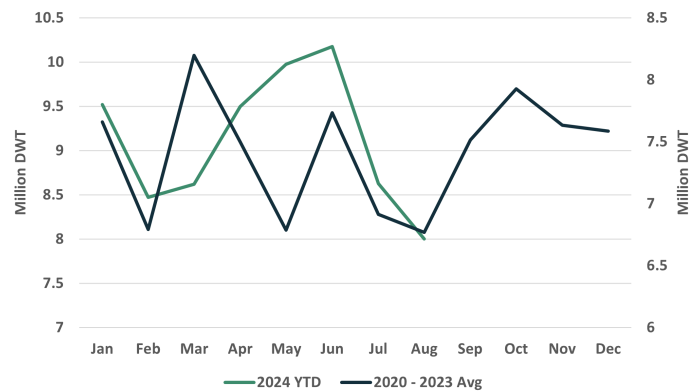
Copper Price Lead vs Panamax 1 Year TC



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax / Kamsarmax India Coal Discharges Seasonality



Supramax/Ultramax

Last week, we wrote the following:

"Interesting weeks ahead for the markets. Average seasonality points to this week being a bottom, with a rally towards year-to-date highs to follow.

So far this year, the ups and downs of the market has perfectly matched the average between 2016 - 2023.

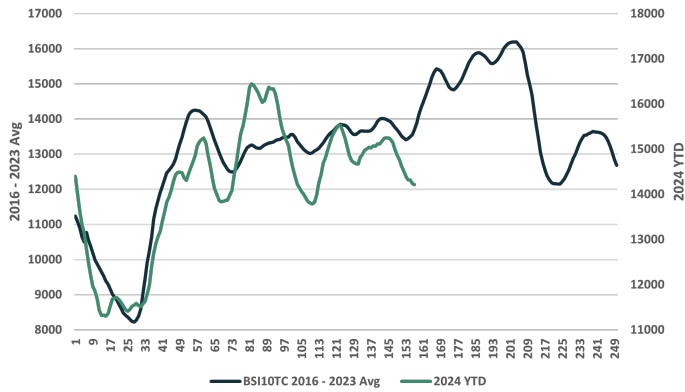
At the moment, we are not seeing any clear signs that a rally is about to begin, however. The USG grain season could be a trigger, and otherwise fundamentals are quite firm, with overall demand growth outpacing supply growth.

Several macro indicators are suggesting that the positive year-on-year change of Baltic Indices will continue until the end of the year. This does at least suggest market levels will not go much lower than where it is currently, as per the lower left chart."

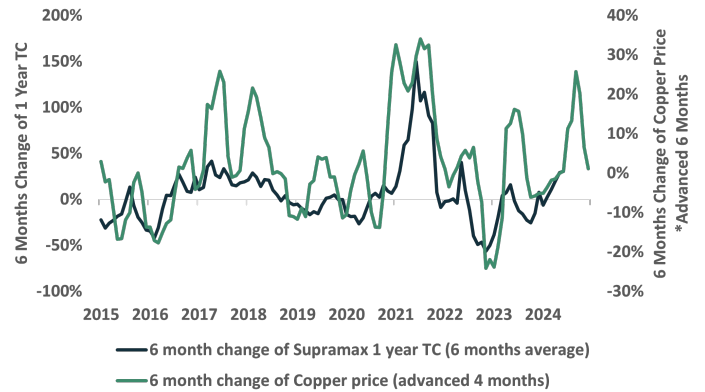
At the time of writing, we still do not see any clear signs of a rally materializing, but it also seems like the market is bottoming.



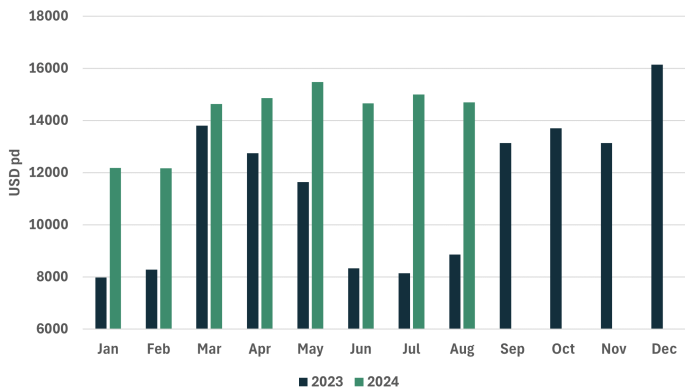
Supramax Seasonal Market Movement



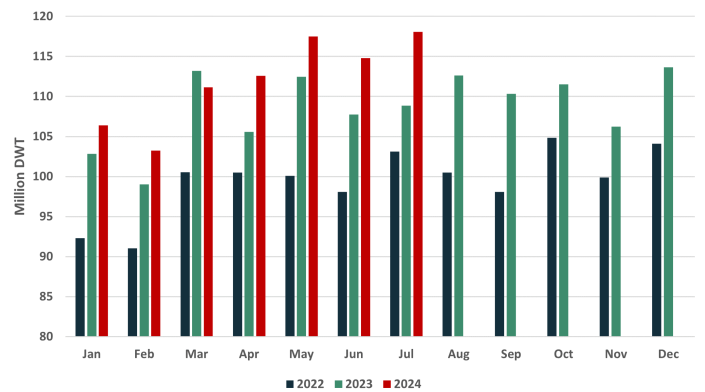
Copper Price Lead vs Supramax 1 Year TC



Supramax 10TC Average - 2023 vs 2024



Supramax / Ultramax Monthly Total Loadings - 2022, 2023 and 2024





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